

Introduction to resident withholding tax [¶15-010]

[¶15-010]

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Under the resident withholding tax (RWT) regime, generally, any person making a payment of resident passive income must deduct RWT from the payment unless an exception applies. Resident passive income comprises interest, dividends, taxable Māori authority distributions or a replacement payment paid to a person under a share-lending arrangement. There are exemptions from the tax ([¶15-110](#)). The tax is intended as the domestic equivalent of non-resident withholding tax (NRWT) and is imposed at source at the time the income is paid. However, in most cases, it is only a withholding tax and the tax deducted is credited against any final income tax liability of the taxpayer deriving dividends and interest. It is a final tax in the case of a replacement payment paid to a person under a share-lending arrangement.

RWT is treated as a refundable credit ([¶12-110](#)). Therefore, any surplus of RWT credits may result in a refund. To the extent that RWT does not exceed the income tax liability, there will be resulting tax to pay. The tax deductions are taken into account in ascertaining a provisional tax liability. RWT deductions must be accounted for to Inland Revenue (IR) on a monthly basis. However, RWT deducted from interest may be accounted for on a 6-monthly basis when RWT deductions are estimated to be less than \$500 per month.

A New Zealand fund manager may act as an RWT proxy when a non-resident unit trust makes distributions to a New Zealand resident unit holder. The system is voluntary for both the fund manager and the recipient of the distribution ([¶15-074](#)).

A person who has RWT-exempt status (before 1 April 2020, held an exemption certificate) is not subject to RWT deductions ([¶15-112](#)).

Last reviewed on 31 December 2025

Resident withholding tax rates [¶15-020]

[¶15-020]

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Generally, if any person makes a payment consisting of interest or dividends (other than exempt interest or dividends), a taxable M#ori authority distribution or a replacement payment under a share-lending arrangement, a deduction of RWT must be made from that payment at the appropriate rate.

A company that is entitled to receive a payment of resident passive income must notify its status as a company to the payer.

Interest

Non-corporate taxpayers

Non-corporate taxpayers can elect the RWT rates of 10.5% (if there is a reasonable expectation that income will be \$15,600 or less), 17.5%, 30%, 33 or 39% by supplying their tax file number and payment rate election to the bank or financial institution.

For taxpayers who opened new bank accounts after 31 March 2010 and provided a tax file number but no payment rate election, the default rate is 33%. For those with existing bank accounts before 1 April 2010, the default rate is 17.5%. Where no tax file number is provided at all, the non-declaration rate is 45%.

Corporate taxpayers

For companies, the default rate is 28% where a tax file number is supplied but no rate is chosen. Companies may also choose a rate of 33% or 39%. If no tax file number is supplied at all, the non-declaration rate is 45%.

Unsuitable RWT rate

From 1 April 2019, if the Commissioner considers a more suitable or more accurate RWT rate could have been used for an interest payment, the Commissioner may recommend a prospective change of the RWT rate to the payee. If the payee consents, the Commissioner will notify the interest payer to update the rate. The payer must use the new RWT rate as soon as reasonably practicable after the date of notification. However, if the payee subsequently notifies the payer of a different rate, the payer must use the rate notified by the payee.

Dividends

RWT on dividends and replacement payments paid under a share-lending arrangement applies at the rate of 33%. A company has no right to elect an RWT rate when the resident passive income is a replacement payment paid under a share-lending arrangement.

Fully imputed dividends paid to a corporate shareholder are excluded from the requirement to withhold RWT if the paying company so chooses (thus avoiding the over-taxation of the dividend).

M#ori authority distributions

RWT is deducted from taxable M#ori authority distributions at the rate of 17.5%. The rate of RWT increases to 39% if the M#ori authority making the distribution does not have a record of the recipient's tax file number and the distribution exceeds \$200.

Law: IT07 ss [RE 2\(5\)](#), [RE 11](#), [RE 19](#), Sch [1](#) pt [D](#) cls [3–6](#); TAA ss [26B](#), [27\(1\)](#)

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Resident withholding tax on dividends [¶15-030]

[¶15-030]

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RWT on dividends is implemented in such a way as to integrate with the dividend imputation system. Under that system, a company may attach imputation credits to dividends at the time a dividend is paid. Where any such credits are attached to a dividend, the amount of RWT payable in respect of the dividend is reduced.

A New Zealand fund manager has the option of acting as an RWT proxy if requested to do so by the recipient of a distribution from a non-resident unit trust ([¶15-074](#)).

Dividends not liable for resident withholding tax

All dividends as defined in subpart [CD](#) (including cash and non-cash dividends) constitute resident passive income except for the following:

- # dividends paid to a company resident in New Zealand which are exempt income under ss [CW 9](#) (dividends derived from a foreign company) and [CW 10](#) (dividends derived within a New Zealand wholly-owned group)
- # an amount deemed to be a dividend on account of being excessive remuneration to a relative (or excessive remuneration by a close company to a shareholder, director or relative) or the non-deductible portion of a rebate paid by a mutual association to a member
- # a dividend from a portfolio investment entity
- # a dividend derived by a person who has RWT-exempt status (before 1 April 2020, held a valid RWT exemption certificate)
- # a dividend that is non-resident passive income
- # a dividend derived by a person not resident in New Zealand other than a dividend which has a New Zealand source
- # fully imputed dividends paid to a corporate shareholder if the paying company so chooses
- # a dividend where the payer and recipient company are members of the same group of companies at the time of the payment of the dividend, (other than certain dividends derived by local authorities)
- # an amount treated as a dividend under s [CB 32C](#) (Dividend income for first year of look-through company)
- # before 1 April 2020, a dividend that was exempt from tax pursuant to an Act other than the Income Tax Act 2007 (IT07)
- # a foreign-sourced dividend derived by a transitional resident
- # a dividend paid by a non-resident company that is carrying on a taxable activity in New Zealand through a fixed establishment if the company is not required by generally accepted accounting practice to express its financial statements in New Zealand dollars (s [RE 4\(4\)](#))
- # contributions to a retirement savings scheme that are excluded income by virtue of s [CX 50B](#)
- # a dividend (other than a non-cash dividend) that has an imputation ratio of 30:70 or more and is paid by a unit trust or group investment fund (or their RWT proxy) that has not withheld RWT from any earlier dividend
- # a dividend treated as derived by a person under s [GB 1\(3\)](#) (which applies to arrangements involving dividend stripping), or
- # amounts received by local authorities under s [CW 39](#).

Dividends paid by friendly societies and building societies

Dividends paid by friendly societies to their members in relation to shares, and dividends paid by building societies to their members in relation to withdrawable shares, are treated as interest for RWT purposes.

Calculation of tax deduction

The formulae set out in ss [RE 13–RE 15](#) are used for calculating the amount of RWT to be deducted from dividends. There are different formulae for calculating RWT on dividends (excluding non-cash dividends), non-cash dividends, dividends that are bonus issues in lieu or shares issued under a profit distribution plan and combined cash and non-cash dividends. The meaning of “tax paid or credit attached” in each formula ensures that trans-Tasman imputation credits are taken into account when calculating RWT on dividends paid by non-resident companies.

Dividends (excluding non-cash dividends)

Generally, RWT on dividends (excluding non-cash dividends) is calculated on the amount of the dividend paid before the deduction of RWT plus any imputation credits attached to the dividend. Credit is then given for any imputation credits attached to the dividend or for any foreign withholding tax paid or payable in respect of the dividend.

The formula for calculating RWT to be deducted from dividends (excluding non-cash dividends) is:

$$(\text{tax rate} \times (\text{dividend paid} + \text{tax paid or credit attached})) \div \text{tax paid or credit attached}$$

where:

tax rate is the appropriate rate of RWT expressed as a percentage, specified in Sch [1 pt D cl 5](#) ([¶15-020](#))

dividend paid is the amount of the dividend (before deduction of RWT), and

tax paid or credit attached is the total of the following amounts:

if the dividend is paid in relation to shares issued by an ICA company, the amount of any imputation credit attached to the dividend

if the dividend is paid in relation to shares issued by a company not resident in New Zealand, the amount of any foreign withholding tax paid or payable in respect of the amount of the dividend.

Example:

Company A pays a dividend of \$72. The RWT required to be deducted is as follows:

	<i>Company A</i>
	\$
Dividend paid	72.00
Imputation credit	<u>28.00</u>
	<u>100.00</u>
Resident withholding tax	33.00
/less imputation credits	<u>28.00</u>
Resident withholding tax payable	<u>5.00</u>

Non-cash dividends

The formula for calculating RWT to be deducted from a non-cash dividend but excluding a bonus issue in lieu, a share issued under a profit distribution plan or certain non-cash dividends distributed through intermediaries is:

$$(\text{tax rate} \times \text{dividend paid} \div (1 \div \text{tax rate})) \div \text{tax paid or credit attached}$$

where:

tax rate is the appropriate rate of RWT expressed as a percentage, specified in Sch [1 pt D cl 5](#) ([¶15-020](#))

dividend paid is the amount of the dividend (before deduction of RWT), and

tax paid or credit attached is the total of the following amounts:

- # if the dividend is paid in relation to shares issued by an ICA company, the amount of any imputation credit attached to the dividend
- # if the dividend is paid in relation to shares issued by a company not resident in New Zealand, the amount of any foreign withholding tax paid or payable in respect of the amount of the dividend.

A company must not make a deduction of RWT from a dividend that is a non-cash dividend. Instead, the company must pay the Commissioner an amount equivalent to the RWT that would have been deducted if the dividend had been a cash dividend. This amount is treated as if it were a deduction of RWT.

QWBA [QB 17/07](#): "Resident and non-resident withholding taxes: non-cash dividends" confirmed that RWT paid in accordance with the formula for calculating RWT on non-cash dividends is included in the income of the recipient of the non-cash dividend. This has also now been clarified in the relevant legislation.

Dividends that are a bonus issue in lieu

The formula for calculating RWT to be deducted from a bonus issue in lieu or from a share issued under a profit distribution plan ([¶16-570](#)) is:

$$(\text{tax rate} \times (\text{alternative amount} + \text{tax paid or credit attached})) \div \text{tax paid or credit attached}$$

where:

tax rate is the appropriate rate of RWT expressed as a percentage, specified in Sch [1 pt D cl 5](#) ([¶15-020](#))

alternative amount is:

- # for bonus issues, the amount of money offered as an alternative to the bonus issue (before deduction of RWT)
- # for shares issued under a profit distribution plan, the net amount offered by the company for the repurchase of the share (before deduction of RWT), and

tax paid or credit attached is the total of the following amounts:

- # if the dividend is paid in relation to shares issued by an ICA company, the amount of any imputation credit attached to the dividend
- # if the dividend is paid in relation to shares issued by a company not resident in New Zealand, the amount of any foreign withholding tax paid or payable in respect of the amount of the dividend.

If the calculation results in a negative amount, no RWT is to be deducted.

Combined cash and non-cash dividends

When cash and non-cash dividends are paid contemporaneously, s [RE 14B](#) provides the payer with the option of combining cash and non-cash dividend payments and accounting for RWT as if the 2 dividends were a single dividend. The section only applies when the cash dividend is equal to or greater than the amount of RWT payable under the formula in the section and the payer elects to apply the section.

The formula for calculating the amount of RWT to withhold and pay to the Commissioner for a combined cash and non-cash dividend is:

$$(\text{tax rate} \times (\text{dividends} + \text{tax paid or credit attached})) \div \text{tax paid or credit attached}$$

where:

tax rate is the appropriate rate of RWT expressed as a percentage, specified in [Sch 1 pt D cl 5](#) ([¶15-020](#))

dividends is the total amount of the cash dividend and the non-cash dividend paid (before deduction of RWT)

tax paid or credit attached is the total of the following amounts:

if the dividend is paid in relation to shares issued by an ICA company, the amount of any imputation credit attached to the dividend

if the dividend is paid in relation to shares issued by a company not resident in New Zealand, the amount of any foreign withholding tax paid or payable in respect of the amount of the dividend.

The total amount of the cash and non-cash dividends is treated as one payment of one dividend and the amount calculated under the formula is the amount to be deducted from the combined dividend.

If the payer elects to apply s [RE 14B](#), neither s [RE 13](#) nor s [RE 14](#) will apply to the dividends.

If a taxpayer provides a non-cash dividend and wishes to provide a cash dividend simply to satisfy the RWT liability on the non-cash dividend, then the following formula provides how much cash dividend is required:

$$\text{cash dividend} = 0.4925 \times \text{non-cash dividend} \# \text{ tax paid or credit attached}$$

Example:

Co X wishes to provide a non-cash dividend of \$360. The non-cash dividend has imputation credits of \$140 attached. Co X wishes to provide a cash dividend solely to satisfy the RWT liability.

$$\text{cash dividend} = 0.4925 \times 360 \# 140 = \$37.30$$

If Co X provides a cash dividend of \$37.30, the RWT payable is also \$37.30.

Conversion of resident passive income denominated in foreign currency

There are specific conversion rules when the resident passive income is denominated in a foreign currency. When calculating the amount of RWT to be credited against income tax, the recipient of the passive income may convert using rates of exchange published by the Commissioner or the close-of-trading spot exchange rate on the date of deduction. When calculating the amount of RWT to be paid to the Commissioner, the person deducting withholding tax may use the close-of-trading spot exchange rate on the first working day of the month following the month of deduction or, the exchange rate on the date on which the payment of income is received. Tax deduction certificates should show the passive income and RWT in New Zealand dollars.

For a dividend paid by an Australian imputation credit account company in Australian currency, the dividend may be converted at the exchange rate under s [OB 60\(6\)](#) if the company chooses ([¶17-235](#)).

Treatment of “dividends treated as interest”

RWT deductions made in relation to dividends treated as interest are treated somewhat differently to RWT deductions from other dividends.

A “dividend treated as interest” is a dividend paid by a non-resident company, a company which is prohibited from distributing all of its income to its proprietor, members or shareholders, a tax-exempt company or a company engaged in New Zealand in life insurance or reinsurance.

In most cases, RWT obligations in respect of such dividends are dealt with in a similar manner to RWT on interest, although the rate of RWT on such dividends is 33%. These dividends are not generally subject to the imputation regime. Because no imputation credits may be attached to these dividends, the amount of withholding tax may not be reduced in a manner similar to that deducted from ordinary dividends that may have such credits attached.

Law: IT07 ss [RE 2\(1\)\(b\)](#), [\(4\)](#), [\(5\)](#), [RE 4\(4\)–\(7\)](#), [RE 13–RE 15](#), [YA 1](#) (“dividend”, “dividend treated as interest”, “resident passive income”)

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Resident withholding tax on interest [¶15-040]

[¶15-040]

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Interest

RWT is also imposed on interest. The term “interest”, for the purposes of the RWT rules, is any payment made in respect of money lent, other than a repayment of money lent (ie principal). A “redemption payment” is also “interest” for the purposes of the RWT rules. A redemption payment includes a payment made on a commercial bill (the liability to RWT is to the extent of the difference between the issue price and the redemption proceeds), as well as the redemption of any other debt instrument to the extent that it is not a repayment of money lent.

Example:

TP Ltd has a number of commercial customers who do not pay their accounts by the due date and are then charged interest at the rate of 2% per month. Do these customers need to deduct RWT from the interest that they pay?

For the purposes of RWT, “interest” is defined as a payment in respect of “money lent”. This includes credit given. Consequently, there is a potential for all payments on overdue accounts to be “interest” as defined. However, the definition of “exempt interest” (see below) would seem to exclude payments on overdue accounts where the credit given is generally accepted commercial practice and where the purchase of the goods or services is in the ordinary course of the purchaser’s taxable activity. Consequently, TP’s customers are not required to deduct RWT.

A payment of a guarantee fee would also appear to fall within the definition of “interest”, as such a payment is in respect of money lent. It follows that a guarantee fee would be subject to the RWT rules.

Interest that is not resident passive income

The following types of interest are exempt from RWT:

- # exempt interest, which is defined as interest that is:
 - # payable under ordinary trade debts
 - # payable in accordance with a hire purchase agreement
 - # derived by a non-resident in relation to a loan to the New Zealand Government or to a local or public authority or, before 1 April 2020, expressly exempted by any other Act
 - # payable under a specified or finance lease
 - # payable in relation to a loan made under the small business cashflow scheme
 - # payable in relation to the repayment of a grant under the COVID-19 resurgence support payments scheme
 - # payable on a bonus bond or Post Office bonus bond (as defined in s 2 of the Post Office Bank Act 1987)
 - # payable on any overpaid levy under s 173 of the Accident Compensation Act 2001, and
 - # payable under s 84 of the KiwiSaver Act 2006 on money in the holding account.
 - # interest derived by a person who has RWT-exempt status (before 1 April 2020, held a valid exemption certificate)
 - # interest that is non-resident passive income
 - # interest derived from outside New Zealand by a person not resident in New Zealand
 - # foreign-sourced interest derived by a transitional resident
 - # interest where companies are in the same group (group status can be determined on a day-by-day basis)
 - # use of money interest payable by a taxpayer under Pt 7 of the Tax Administration Act 1994 (TAA)
 - # interest paid to an intermediary by a client in the operation of a tax pooling account

- # interest paid by the Commissioner to an intermediary on an amount deposited in a tax pooling account
- # interest paid by the Commissioner on overpaid tax under s [120D](#) of the TAA (see below), and
- # interest arising because s [EI 2](#) applies to an inflation-indexed instrument.

(Note that RWT is withheld on both the interest and the inflation-indexed component at the time the bond coupon is paid. In addition, the payer's obligation to deduct RWT is limited to the amount of the interest payment.)

A negative interest payment means a payment made as a term of a financial transaction where money is advanced at a negative rate of interest. The payment is made by the person advancing the money to the person receiving the money. It effectively reverses the usual position for interest where the borrower pays interest to the lender. New Zealand has never had negative interest rates, but such a practice is being considered widely overseas. As a result, banks and financial institutions in New Zealand asked the Commissioner whether withholding taxes will apply to negative interest payments.

QWBA [QB 21/02](#): "Whether 'negative interest' payments are subject to withholding taxes" concludes that the payments will not be subject to withholding taxes. For the RWT and NRWT rules to apply, the payment must be made to a person by another person for money lent. Negative interest cannot truly be said to be paid for money lent. If it was paid "for" money lent than it would be in return for the money lent. However, negative interest is paid to the person receiving the money and it is not a return to a lender from a loan.

Dividends paid by friendly societies and building societies

Dividends paid by friendly societies to their members in relation to shares, and dividends paid by building societies to their members in relation to withdrawable shares, are treated as interest for RWT purposes.

Interest payable by Commissioner on overpaid tax

Interest paid by the Commissioner on overpaid tax is no longer subject to withholding at source, although it remains assessable income for tax purposes. The interest is included in a taxpayer's residual income tax calculation and either added to provisional tax payments or paid at the terminal tax date.

Resident withholding tax on relationship property court-ordered interest

The Commissioner considers that RWT is not required to be deducted from relationship property court-ordered interest on the presumption that such interest is not resident passive income for the purposes of subpart [RE](#). Court-awarded interest does not, in the Commissioner's view, amount to money lent since it is not in relation to money advanced by the spouse, nor is it in relation to a forbearance to sue. However, the interest must be returned as income by the recipient (*Tax Information Bulletin* [176-108 Vol 7, No 6](#), December 1995 at 15).

This policy is unlikely to have changed in light of the Property (Relationships) Act 1976.

Interest on shareholder loan accounts

QWBA [QB 22/10](#): "Can a close company deduct interest on a shareholder loan account where the amount is not known until after balance date?" states at [16] that RWT may have to be deducted when a company is contractually bound to pay interest to a shareholder. This will depend on the amount of interest payable. If the amount is more than \$5,000, the RWT is to be deducted when the company:

- # gives the interest payment to the shareholder (eg by bank transfer)
- # credits the amount to the shareholder's loan account

deals with the amount in their interest, or on their behalf (eg pays a bill on their behalf in lieu of payment).

The timing will depend on how the company pays the interest. See [18] of [QB 22/10](#).

For further discussions regarding interest paid on shareholder current account, see [¶15-070](#) and [¶15-220](#).

Calculation of tax deduction

The amount of RWT to be deducted from interest is calculated in accordance with the following formula:

$$(\text{tax rate} \times (\text{interest paid} + \text{foreign withholding tax})) \div \text{foreign withholding tax}$$

where:

tax rate is the appropriate rate of RWT expressed as a percentage, specified in [Sch 1 pt D cl 3](#) or [4 \(¶15-020\)](#)

interest paid is the amount of interest paid (before deduction of RWT), and

foreign withholding tax is the amount of foreign withholding tax paid or payable in respect of that amount of interest.

Example:

Mrs TP has interest income of \$1,000 paid to her during the 20X2–X3 income year. She has supplied the bank with her IR file number and has supplied payment rate elections choosing the rate of 33%. RWT of \$330 is deducted from the income at source and Mrs TP receives the net amount of \$670. When a return is filed, such income should be returned as the gross amount of \$1,000 and the RWT may be claimed as a refundable credit against the year-end tax liability. The following table shows Mrs TP's income tax liability on the interest income and the amount of refund available depending on her marginal tax rate:

Marginal rate	17.5%	30%	33%	39%
	\$	\$	\$	\$
Net interest received	670	670	670	670
RWT	330	330	330	330
Gross interest received	1,000	1,000	1,000	1,000
equals net and taxable income	1,000	1,000	1,000	1,000
Gross tax payable at marginal tax rates	175	300	330	390
less RWT credit	330	330	330	330
equals tax to pay/(refund)	(155)	(30)	0	60

When there is a surplus of refundable tax credits over the income tax liability, the surplus is refundable. Where Mrs TP is on the top marginal tax rate, she will be required to pay the \$60 to IR. She should also notify her bank of the change in withholding rate that is required.

This example was adapted from one prepared by Clinton R Alley, Senior Lecturer, Department of Accounting and Finance, University of Waikato.

The item "foreign withholding tax" of the formula ensures that if any interest is received from overseas, RWT is calculated on the amount of income grossed up by any foreign withholding tax paid.

Law: IT07 ss [RE 2\(1\)\(a\)](#), [\(3\)](#), [\(4\)](#), [RE 12](#), [RE 18B](#), [YA 1](#) ("exempt interest", "interest")

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Resident withholding tax on taxable M#ori authority distributions [¶15-065]

[¶15-065]

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RWT is required to be deducted from certain distributions made by M#ori authorities known as “taxable M#ori authority distributions”. RWT on taxable M#ori authority distributions is implemented in such a way as to integrate with the M#ori authority credit attribution system that was introduced to modify the way in which M#ori authorities are taxed ([¶24-288–¶24-335](#)). Briefly, the credit attribution system operates in a similar way to the company imputation system and allows M#ori authority credits to be attached to taxable M#ori authority distributions. RWT applies to taxable M#ori authority distributions to the extent that M#ori authority credits are not attached to the distribution.

The definition of “resident passive income” includes taxable M#ori authority distributions (other than retirement scheme contributions). A “taxable M#ori authority distribution” is an amount distributed by a M#ori authority from income derived in the 2004–05 or later tax year that is not exempt from tax ([¶24-311](#)).

Calculation of tax deduction

The formulae set out in s [RE 16](#) are used for calculating the amount of RWT which applies to cash and non-cash taxable M#ori authority distributions.

Taxable M#ori authority distributions in cash form

Generally, RWT on taxable M#ori authority distributions in the form of cash or a credit of an amount of money is calculated on the amount of the distribution paid before the deduction of RWT plus M#ori authority credits attached to the distribution. Credit is then given for any M#ori authority credits attached to the distribution.

The formula for calculating RWT to be deducted from taxable M#ori authority distributions in the form of cash or a credit of an amount of money is (s [RE 16\(2\)](#)):

$$(\text{tax rate} \times (\text{distribution amount} + \text{credit attached})) \div \text{credit attached}$$

where:

tax rate is the appropriate rate of RWT expressed as a percentage, specified in [Sch 1, pt D, cl 6](#) of the IT07 ([¶15-020](#))

distribution amount is the amount of the distribution (before the deduction of RWT), and

credit attached is the amount of the M#ori authority credit attached to the distribution.

Non-cash taxable M#ori authority distributions

A M#ori authority must not make a deduction from a taxable M#ori authority distribution which is not paid in cash. Instead, the authority must pay the Commissioner an amount equivalent to the RWT that would have been deducted if the distribution were a cash distribution. This amount is treated as if it were a deduction of RWT.

The formula for calculating the amount of RWT in relation to a non-cash taxable M#ori authority distribution is:

$$(\text{tax rate} \times \text{distribution amount} \div (1 \div \text{tax rate})) \div \text{credit attached}$$

where:

tax rate is the appropriate rate of RWT expressed as a percentage, specified in [Sch 1, pt D, cl 6](#) ([¶15-020](#))

distribution amount is the amount of the distribution before the deduction of RWT, and
credit attached is the amount of the M#ori authority credit attached to the distribution.

Resident withholding tax deductions treated as M#ori authority credits

RWT deducted from a taxable M#ori authority distribution is treated as a M#ori authority credit and is dealt with under the M#ori authority credit regime ([¶24-314](#)). Details of the deduction must be provided to the Commissioner in the annual M#ori authority credit account return and recorded in the distribution statement prepared by the M#ori authority.

Law: IT07 ss [RE 2\(1\)\(c\)](#), [RE 16](#), [RE 24](#); TAA s [56B](#)

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Replacement payments under share-lending arrangements — RWT [¶15-067]

[¶15-067]

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In certain circumstances RWT must be deducted from a replacement payment made under a share-lending arrangement. A replacement payment, for a returning share transfer, means a payment to a person of an amount that is:

- # economically equivalent to a dividend or part of a dividend for an original share, or
- # increased by an imputation credit attached to the payment.

The amount of RWT to be deducted is calculated using the formula in s [RE 17](#). The applicable rate of RWT is 33% for all taxpayers. The share user is effectively required to deduct RWT from any amount of a replacement payment that is not fully imputed by credits from the underlying dividend. RWT deducted does not give rise to a credit of tax for the share supplier; rather, it gives rise to an imputation credit attached to the replacement payment. This imputation credit is in addition to any imputation credit the share user attaches to the replacement payment ([¶17-040](#)). The share user can claim a deduction for the amount of the replacement payment and any imputation credits attached to the replacement payment ([¶10-660](#)).

For further discussion on the tax treatment of distributions from share-lending transactions, see [¶17-116](#).

Law: IT07 ss [RE 2\(1\)\(d\)](#), [RE 17](#), [RE 25](#), [YA 1](#) (“replacement payment”, “share-lending arrangement”)

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Persons liable to deduct RWT [¶15-070]

[¶15-070]

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A person is liable to deduct RWT from resident passive income only if the person is either:

- # a New Zealand resident for tax purposes, or
- # a non-resident carrying on a taxable activity in New Zealand through a fixed establishment (note exception below)

and one of the following applies:

- # the person has RWT-exempt status at the time of payment
- # the payment is made in whole or in part in carrying on a taxable activity, whether in the capacity of agent or trustee for any other person or otherwise (see below)
- # the payment is a dividend
- # the payment is a taxable Māori authority distribution
- # the payment is a replacement payment under a share-lending arrangement, or
- # the person is a custodial institution that pays on or transfers an amount of investment income to an end investor ([¶15-187](#)).

Taxable activity

Generally, deductions must be made only by a person resident in New Zealand or a person carrying on a taxable activity in New Zealand who is making such payments in the course of that activity. The term “taxable activity” has the same meaning as that given to it in the Goods and Services Tax Act 1985, except that it also includes activities relating to the making of exempt supplies (ie all regular, ongoing activities of any individual or organisation — commercial or non-profit — involving the supply of goods and services). It does not apply to wages or salary. See also [¶15-100](#) in relation to agents and trustees.

Interest paid on shareholder current account

When a shareholder pays interest on their overdrawn shareholder current account, RWT withholding obligation arises (subject to a \$5,000 de minimis threshold) if the shareholder has RWT-exempt status or pays the interest as part of a taxable activity (ie the funds are used by the shareholder for the purpose of supplying goods or services for consideration) ([IS 24/09](#): “Income tax — overdrawn shareholder loan account balances”, [71] to [77]). Note a shareholder is not required to withhold RWT on interest paid to a company with RWT-exempt status.

Conversely, a company paying interest on a credit shareholder’s current account will generally be paying that interest in the course of a taxable activity. The payment will therefore be subject to RWT if the shareholder does not have RWT-exempt status.

Exception

There is a proviso that a person is not liable to deduct RWT if the person can establish that the payment is attributable to, or effectively connected with, a fixed establishment of that person outside New Zealand and all amounts payable are payable in a foreign currency or, in the case of dividends payable by a non-resident company, the company is not required by generally accepted accounting practice to express its financial statements in New Zealand currency.

See [¶15-080](#) for further exceptions in relation to payments of interest.

Law: IT07 ss [RE 3](#), [RE 4](#), [YA 1](#) (“[resident passive income](#)”, “[taxable activity](#)”)

Last reviewed on 31 December 2025

Resident withholding tax proxy for a non-resident unit trust [¶15-074]

[¶15-074]

[Click to open document in a browser](#)

New Zealand fund managers may choose to offer withholding tax facilities to their unit holders in relation to dividends received from investments in overseas unit trusts. This option was prompted by a law change in December 2004 which treated distributions to holders of units in foreign unit trusts as taxable dividends instead of non-taxable bonus issues (*Tax Information Bulletin* [¶177-114 Vol 17, No 7](#), September 2005 at 45). The system of RWT proxies is intended to reduce compliance costs. For many investors, withholding of the correct amount of tax from distributions removes the need to file a tax return.

The use of an RWT proxy is voluntary for the proxy and the recipient of the dividend, so both parties must agree before the RWT proxy facility can apply. Liability to pay RWT in respect of a dividend from a non-resident unit trust applies only when a person is an RWT proxy for both a payer of resident passive income and a payment of such income in the form of a dividend.

What is an RWT proxy?

To be an RWT proxy:

- # the person must give a notice of election to the Commissioner to be an RWT proxy for a non-resident unit trust and for a payment in the form of a dividend
- # the recipient of the dividend, or of the payment that includes the dividend, must be a natural person or a trustee of a complying trust
- # the recipient must request the person to act as an RWT proxy in relation to the unit trust
- # the person must have agreed to act as an RWT proxy for the recipient, and
- # the payment by the non-resident unit trust must be made while the election given to the Commissioner is effective.

The notice of election must contain the name and postal address of the payer (the non-resident unit trust) and the date from which the election is effective. The election applies from the nominated commencement date until the later of the date specified in a further notice to the Commissioner cancelling the election, or the date on which the Commissioner receives the cancellation notice.

Formula for RWT payable by RWT proxy

RWT payable by an RWT proxy is calculated under the formula:

$$\text{tax rate} \times \text{amount paid} \div (1 \text{ \# rate})$$

where:

- tax rate** is the applicable RWT rate as set out in [Sch 1 pt D cl 3 \(¶15-020\)](#), and
- amount paid** is the amount paid to the person receiving the dividend.

The formula ensures that RWT is calculated on the net amount of dividend paid.

Law: IT07 ss [RE 3\(1\)\(c\)](#), [RE 18](#); TAA s [124ZF](#)

Last reviewed on 31 December 2025

Persons not liable to deduct resident withholding tax [¶15-080]

[¶15-080]

[Click to open document in a browser](#)

In relation to interest payments, there is an exemption for certain persons who would otherwise be obliged to make deductions of RWT. These are persons who either do not have RWT-exempt status or have RWT-exempt status because their income constitutes exempt income or because the Commissioner granted status under the special provisions of s 321 of the TAA (¶15-110). If such a person has made, in one tax year, payments of interest totalling \$5,000 or less, they will not have to deduct RWT from a payment made in the next tax year unless that payment, when aggregated with other interest payments made earlier that tax year, exceeds \$5,000.

Example:

In the course of its taxable activity in the year ended 31 March 20X3, a company pays \$3,000 in interest on a shareholder's credit current account. Because the total amount of interest paid in the year ended 31 March 20X3 is \$5,000 or less, the company will not have to deduct RWT from that payment. If in the following year (ie the year ended 31 March 20X4) interest of \$2,500 is paid on a shareholder's current account on 30 June 20X3 and on 30 September 20X3 a further \$2,600 of interest is paid, RWT will need to be deducted from the payment of \$2,600 and any subsequent payments. This is because the sum of the interest payments made on 30 September 20X3 and 30 June 20X3 exceeds \$5,000.

For special disclosure requirements, see ¶15-220.

A person who pays interest in the course of carrying on a taxable activity is required to withhold RWT from that interest only if the amount that relates to the taxable activity is more than \$5,000 for the tax year.

Example:

James borrows \$150,000 from his parents to buy his first home. He pays \$7,500 interest payments per year. He uses the garage of the house for his business of selling go-karts. The garage is 15% of the total size of the house, so 15% of the interest (\$1,125) is treated as being related to his taxable activity. Before 1 April 2020, James would have needed to withhold RWT and report the interest paid to IR. Since 1 April 2020, James no longer needs to withhold RWT.

Example adapted from *Tax Information Bulletin* ¶305-102 Vol 30, No 5, June 2018 at 32.

Non-resident withholding tax

A person who believes, on reasonable grounds after making reasonable enquiries, that a payment or receipt constitutes non-resident passive income, and has complied with any obligations in connection with the deduction of tax from such income, is not liable for RWT. The payment or receipt is deemed to be derived by a non-resident.

The above requirement was not met in Case 11/2011 (2011) 25 NZTC ¶1-011. In that case, a New Zealand trust made interest payments to a Hong Kong based company that was found to be tax resident in New Zealand. Accordingly, the interest payments were subject to RWT rather than NRWT and the approved issuer levy (AIL) regime. The trust argued that it was excused from making RWT deductions on the basis that it had concluded on reasonable grounds after making reasonable enquiries that the recipient of the interest was non-resident. Rejecting this argument, the Taxation Review Authority held that in order to meet the statutory criteria the taxpayers should have obtained taxation advice in relation to the matter. Advice as to the residency of the Hong Kong company was not obtained until a number of years after the interest payments commenced and, even then, the advice was not based on all of the relevant facts. On appeal, the High Court did accept that reasonable inquiries had been made of the parties who would have been in possession of all relevant facts, but held that the conclusion that the payments constituted non-resident withholding income was not reached on reasonable grounds. See *Vinelight Nominees Ltd v C of IR* (2012) 25 NZTC ¶20-155.

Resident and non-resident with joint account

IR considers that if a non-resident and a resident hold a joint account, NRWT and RWT can be deducted proportionately if the payer knows the proportions that relate to each person. The non-resident can claim a refund from IR by filing an annual return. See *Tax Information Bulletin* [¶112-108 Vol 11, No 2](#), February 1999 at 12.

Law: IT07 ss [RE 10](#), [RE 22](#)

Last reviewed on 31 December 2025

Agent, trustee and nominee — RWT [¶15-100]

[¶15-100]

[Click to open document in a browser](#)

When a person receives resident passive income as an agent, trustee or, in some cases, nominee, they must deduct the tax if the payer has not done so. If a nominee has RWT-exempt status or is paid an amount in the conduct of a taxable activity carried on by that nominee, and some or all of the amount is resident passive income, then the nominee is obliged to deduct RWT. This obligation can extend to a trustee who is a member of a professional practice (such as a solicitor) irrespective of whether the practice has RWT-exempt status.

Payment

The payment must be made to the Commissioner no later than the 20th of the month following the month in which it is received. A recipient who has RWT-exempt status at the time of the payment or receives the payment as trustee of a trust (not being a bare trustee) is not obliged to do this. It appears, therefore, that the obligation applies only to persons who either have RWT-exempt status but are not receiving payments as trustees (other than bare trustees) or do not have RWT-exempt status but are receiving the income in the course or furtherance of a taxable activity. When the tax deducted in this way is from income that consists of dividends, the tax deducted is treated as being in respect of “dividends treated as interest” and, consequently, is not subject to the special treatment accorded to tax deductions in respect of other dividends.

Non-cash dividends

An agent, trustee or nominee is not required to make a deduction from dividends which are non-cash dividends. Instead, they must pay the Commissioner an amount equivalent to the RWT that would have been deducted if the dividend had been a cash dividend. This amount is treated as if it were a deduction of RWT. A trustee must also be conscious of the obligations that apply when making payments in the course of a taxable activity and of the fact that the term “payment” is defined to include crediting on account ([¶15-105](#)).

Exclusions

A trustee who receives resident passive income consisting of a replacement payment under a share-lending arrangement is excluded from the requirement to deduct RWT.

An agent or bare trustee for a transitional resident may be excluded from the requirement to deduct RWT where the income is exempt under the temporary tax exemption for transitional residents ([¶15-700](#)).

Law: IT07 ss [RE 5\(3\)](#), [RE 7](#)–[RE 9](#)

Last reviewed on 31 December 2025

Deduction to be made when resident passive income "paid" [¶15-105]

[¶15-105]

[Click to open document in a browser](#)

Deduction of RWT is to be made at the time of payment of the resident passive income. "Pay" is defined as including when amounts are distributed, credited, or dealt with in the interest of or on behalf of a person. The time at which the interest or dividends are so credited or dealt with will determine the timing of the RWT liability.

Example:

TP invests in a company that is put into receivership. The receiver continues to credit interest to TP's account in the event of an eventual payout. Is it necessary for the receiver to deduct RWT from any amounts credited? The term pay is defined in s [YA 1](#) to include distribute to, credit to or deal with in the interest of or on behalf of a person. Resident withholding tax obligations are imposed on the payer of interest when the interest is paid. It would seem likely, therefore, that TP will receive the interest in question. However, in *Permanent Trustee Co v FC of T* (1940) 6 ATD 5; 2 AITR 109 where a lender was credited with interest, there being no prospect that the interest would be received, it was indicated that no income had actually been derived. It could, therefore, be open to the receiver to argue that no RWT deductions are required and to TP that no interest has been derived.

Shareholders' current accounts

In practice, it is common that any interest charged on shareholders' current accounts is determined and calculated during preparation of the year-end financial statements (ie after balance date). The time that the RWT liability arises depends on how the interest is recorded. If the interest is credited to a general provision (rather than the shareholders' current account), and the shareholders' resolution states that the interest on the shareholders' current account is not available to be paid or credited to the shareholders until ratification of the financial statements, the RWT liability will arise on ratification of the year-end financial statements. It is only from this time that the shareholders will be entitled to the interest income. Payment of the RWT will therefore be required on the 20th of the month following ratification. If the interest is credited to the shareholders' current account (rather than a general provision), it will be "paid" for the purposes of the RWT rules on the date the journal entry is posted. If the RWT is not paid by the 20th of the month following the journal entry date, late payment penalties and use of money interest will be payable on the unpaid RWT.

See also [QB 22/10](#): "Can a close company deduct interest on a shareholder loan account where the amount is not known until after balance date?" at [16] and [¶15-040](#).

Law: IT07 ss [RA 9](#), [YA 1](#) ("pay")

Last reviewed on 31 December 2025

RWT-exempt status [¶15-110]

[¶15-110]

[Click to open document in a browser](#)

A person who makes a payment of resident passive income to a person who has RWT-exempt status does not deduct RWT, because income of this kind is not resident passive income ([¶15-115](#)). The exemption does not arise simply by virtue of the recipient being within one of the categories of entities eligible for the exemption. The entity must apply for and be granted RWT-exempt status. The following entities may apply for RWT-exempt status (s [32E\(2\)](#)):

- # a registered bank
- # a building society
- # a portfolio investment entity
- # Public Trust or any company that would be a member of the same wholly-owned group of companies as Public Trust if Public Trust were a company
- # the Māori Trustee
- # the trustee of the Niue International Trust Fund
- # the trustee of the Tokelau International Trust Fund
- # a statutory trustee company
- # a person whose principal activity is the business of borrowing and lending money
- # a nominee company subject to rules made by the Council of the New Zealand Law Society and operated by a barrister and solicitor or an incorporated law firm
- # a practitioner or incorporated firm in relation to the operation of their trust account maintained in accordance with s [112](#) of the Lawyers and Conveyancers Act 2006
- # a broker's nominee company to which the Securities Act (Contributory Mortgage) Regulations 1988 apply
- # a person or organisation that has filed all the required tax returns by the relevant due dates and whose annual gross income in the most recent of those returns was \$2 million
- # a person or organisation whose expected annual gross income for the next accounting year is more than \$2 million ([¶15-130](#))
- # in relation to the tax-exempt activity only, a person whose income is wholly or partly exempt because that person is:
 - # a public authority, a local authority or a public purpose Crown-controlled company
 - # a friendly society
 - # a society for scientific or industrial research
 - # a charity or a business which is also a charity
 - # an estate held for charitable purposes
 - # a gaming-machine licensed operator who complies with the [Gambling Act 2003](#)
 - # a community housing entity as defined in s [CW 42B](#)
 - # a promoter of veterinary services
 - # a promoter of herd improvement
 - # a promoter of amateur sport
 - # a racing club or a racing organisation listed in s [CW 47](#)
 - # a local or regional promotion body (formerly known as a district improvement society) as defined in s [CW 40](#)
 - # the Trustees of Cornwall Park
 - # a trustee of an employer fund established to meet employee funeral expenses under s [CW 45](#) ([¶14-134](#))
 - # a community trust as defined in s 4 of the Community Trusts Act 1999
 - # a water organisation that derives exempt income under s [CW 55BC](#)
 - # exempt from income tax under some other statute
 - # a board constituted under subpart 5 of Pt 3 of the Education and Training Act 2020 and not carried on for the private pecuniary profit of any individual

- # a tertiary education institution established under subpart 3 of Pt 4 or Pt 4A of the Education and Training Act 2020 and not carried on for the private pecuniary profit of any individual, or
- # a tertiary education subsidiary that derives exempt income under s [CW 55BA](#)
- # a non-profit organisation that, but for the exemption in s [DV 8 \(124-120\)](#), would have had net income of less than \$1,000 for the most recently completed accounting year.

Registered charity

Under ss [CW 41](#) and [CW 42](#) a charitable body will not be exempt from income tax, and therefore cannot apply for RWT-exempt status, unless it has registered with the Charities Registration Board. A charitable trust registered under the Charities Act 2005 will be treated as having RWT-exempt status for the duration of the registration.

Special circumstances

Exempt status may also be granted in special circumstances if a taxpayer is in a tax loss situation or the person would be, or is likely to be, entitled to claim aggregate RWT credits exceeding the tax liability of that person by \$500 or more. A set of budgeted accounts detailing the projected income, deductions, RWT credits and income tax liability must be forwarded with the application together with any other information, in relation to the person or budgeted accounts, that the Commissioner may require.

Electronic Register

Persons that have RWT-exempt status are included in an electronic register maintained and published by IR. Investors with RWT-exempt status have to notify their investment provider of their status and payers of investment income are able to confirm that investors have RWT-exempt status on the electronic register.

Recipients of investment income that are exempt from tax under another Act need to apply for RWT-exempt status and are then included on the electronic register if they wish to continue to be treated as being exempt from RWT. The income is still exempt income so if the recipient does have RWT deducted they can apply to IR for a refund of the deducted RWT.

Law: IT07 ss [RE 5\(2\)](#), [RE 27\(1\)](#), [RE 31](#); TAA ss [32E](#), [32I](#)

Last reviewed on 31 December 2025

Application for RWT-exempt status [¶15-112]

[¶15-112]

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An eligible person ([¶15-110](#)) may apply to the Commissioner for RWT-exempt status on form [IR 451](#) (March 2023). The application must state the basis of exemption and include a declaration by the person or an authorised officer that they come within that basis of exemption.

If the person meets the requirements, the Commissioner must then publish the person's tax file number and the start date and, if applicable, the end date on the electronic register of persons with RWT-exempt status. The Commissioner must also notify the person of the issue of the status and the start and end date, as applicable. A person's RWT-exempt status will take effect on the start date provided in the electronic register.

If a person held a current RWT exemption certificate before 1 April 2020, the person is automatically included on the electronic register unless their exemption was cancelled, expired or revoked, or the person was exempt under another Act and has not been approved under one of the other criteria set out in [¶15-110](#) above.

Law: TAA ss [32E](#), [32H](#)

Last reviewed on 31 December 2025

Payment to person with RWT-exempt status [¶15-115]

[¶15-115]

[Click to open document in a browser](#)

A payment does not constitute resident passive income subject to withholding tax when the recipient has RWT-exempt status.

A person is able to establish whether a person has RWT-exempt status by establishing:

- # they have made a search of the electronic register ([¶15-110](#))
- # they have taken reasonable steps to confirm the person is a person listed in s [32E\(2\)\(a\)](#) to [\(h\)](#) of the TAA, or
- # except in relation to certain persons deriving exempt income or to whom the Commissioner has provided RWT-exempt status under s [321](#) of the TAA, they have been given the person's tax file number and have been notified that person has RWT-exempt status.

Compliance issues for payers

Investors with RWT-exempt status must notify their investment provider of their status and payers of investment income are able to confirm that investors have RWT-exempt status on the electronic register. The Commissioner is required to publish the list of persons with RWT-exempt status on the electronic register and this is updated overnight every business day.

Joint accounts

In cases where a person with RWT-exempt status has a joint account with another person who does not have RWT-exempt status, IR considers that the payer must deduct RWT from all the interest paid. The exempt status holder can, however, claim a tax refund when filing an annual return (*Tax Information Bulletin* [¶112-108 Vol 11, No 2](#), February 1999 at 12).

Law: IT07 ss [RE 5](#), [RE 29](#); TAA s [32E\(2\)](#)

Last reviewed on 31 December 2025

Income exceeding \$2 million — RWT-exempt status [¶15-130]

[¶15-130]

[Click to open document in a browser](#)

A person who has RWT-exempt status on the basis that their annual gross income for the next accounting year is estimated to exceed \$2 million must provide the Commissioner with evidence of their gross income within 3 months of the end of the relevant accounting year. In the case of a company that is a member of a group of companies, the \$2 million threshold is satisfied if group income exceeds \$2 million. This enables each group member to obtain RWT-exempt status (even though the income of that member will not reach the threshold).

Law: TAA ss [32F](#), [32G](#)

Last reviewed on 31 December 2025

Surrender or revocation of RWT-exempt status [¶15-140]

[¶15-140]

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Surrender

When a person becomes aware that they no longer meet the requirements for RWT-exempt status, they must notify the Commissioner within 5 days after the day they become aware. If requested to do so, the person must provide the Commissioner, within 5 days, with the full name and last known address of all persons to whom they have advised their RWT-exempt status.

Revocation of RWT-exempt status

RWT-exempt status may be revoked by the Commissioner at any time if:

- # the Commissioner reasonably believes the person no longer satisfies the requirements upon which the exemption was based
- # the person did not meet the requirements, having obtained the exemption on the basis of misleading information
- # the person should not have been provided with RWT-exempt status
- # contrary to the person's estimate, evidence shows that the person did not derive annual gross income of more than \$2 million or the evidence was unsatisfactory or was materially incorrect or misleading, if this was the basis of the exemption ([¶15-130](#)), or
- # the person has not paid any income tax by the due date.

If the Commissioner considers the person qualifies for another category of exemption, the Commissioner must not revoke the RWT-exempt status.

Notification by Commissioner

The Commissioner must notify a person whose RWT-exempt status has been revoked within 30 working days of the revocation. The Commissioner may also request the person provide the Commissioner, within 5 days, with the full name and last known address of all persons to whom they have advised their RWT-exempt status.

The person must notify, within 5 days, all those persons to whom they have advised their RWT-exempt status and from whom they expect to receive further payments of resident passive income that their status has been revoked.

Law: IT07 s [RE 27\(2\)](#), [\(3\)](#); TAA ss [32K](#), [32L](#)

Last reviewed on 31 December 2025

Unincorporated body and RWT [¶15-160]

[¶15-160]

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When an “unincorporated body” (eg a partnership, a joint venture or trustees of a trust) has RWT-exempt status in relation to the carrying on of a taxable activity, the following rules under s [RE 30](#) apply:

- # the members cannot themselves have RWT-exempt status in relation to that taxable activity
- # payments made in the course of that activity are deemed to be made by the body and not by any member
- # payments made to any member acting as a member of that body are deemed to have been made to the body and not to the member
- # the RWT-exempt status is in the name of the body
- # changes in membership have no effect so far as RWT is concerned except that (1) members are jointly and severally liable while they are members, and their estates are severally liable upon their deaths (where the member(s) are individuals), and (2) membership does not cease until a change of membership is notified to the Commissioner.

Note the above rules do not apply to a limited partnership (s [RE 30\(1B\)](#)).

Retrospective amendments have been made and under new s [RE 31](#) of the IT07, limited partnerships may apply for RWT-exempt status in the name of the limited partnership and, once granted, payments made to or by a limited partner are treated as payments made to or by the limited partnership. A general partner has joint and several liability for outstanding RWT liabilities if the general partner was a partner in the limited partnership at the time the RWT liability was incurred. For the purposes of determining joint and several liability, a general partner continues as a partner until the Commissioner is notified that the person is no longer a partner (s [RE 31\(5\)](#)).

Amendments to s [32IB](#) of the TAA clarifies that the \$2 million income amount, deduction, assessable income and credit amounts referred to in the RWT-exempt status eligibility criteria (ss [32E\(2\)](#) and [32I\(1\)](#) of the TAA) are determined on an aggregate basis meaning the partnership is treated as a non-transparent entity for the purposes of this test.

Responsibilities in relation to RWT are the joint and several responsibilities of the following persons where a body is not a partnership, joint venture or trustees of a trust:

- # every member holding office as president, chairperson, treasurer, secretary or similar, or
- # in default of any such member, every committee member.

Law: IT07 ss [RE 30](#), [RE 31](#); TAA ss [32IB](#), [32J](#)

Last reviewed on 31 December 2025

Payment of RWT to Commissioner [¶15-170]

[¶15-170]

[Click to open document in a browser](#)

A person who makes a payment of resident passive income (eg interest or dividends) must deduct the appropriate amount of RWT and forward the amount to IR by the due date.

Interest

A monthly payment of RWT to IR is required from any person who estimates that in a year to 31 March they will be required to make RWT deductions of at least \$500 during each month of the year. This amount must be paid by the 20th of the month following the month of deduction.

If a taxpayer estimates that RWT payable in each month will not exceed \$500, payment is made in 2 instalments. The first instalment is due and payable on 20 October for payments of RWT on interest for the period 1 April to 30 September. The second instalment is due and payable on 20 April in the following year for tax on interest for the period 1 October to 31 March.

When a person discovers that deductions of \$500 or more have been made since the beginning of the previous month, those deductions must be paid for that 2-month period by the 20th of the month following the second month.

Dividend

Any deduction of RWT on a dividend (including a dividend treated as interest) must be paid monthly on the 20th of the month following the month of deduction.

An RWT proxy who must pay RWT in relation to a dividend is treated as having deducted RWT from the dividend at the time the dividend is paid.

Taxable Māori authority distributions

Māori authorities must pay all RWT deducted from taxable Māori authority distributions to IR on a monthly basis, no later than the 20th of the month following the month of deduction.

Share-lending arrangements

RWT deducted from replacement payments under share-lending arrangements is payable to the Commissioner on a monthly basis, no later than the 20th of the month following the month of deduction.

Cessation of taxable activity or exemption cancelled

Where, in any month, a person who is required to deduct RWT:

- # ceases to carry on any taxable activity where RWT deductions have been made
- # ceases to carry on any such taxable activity in New Zealand, or
- # ceases to have RWT-exempt status (before 1 April 2020, to hold a valid RWT exemption certificate)

that person must pay all RWT deductions to the Commissioner no later than the 20th day of the following month.

Corporate migration

From 30 August 2022, if a company emigrates, s [RA 18](#) requires that the company (where s [FL 2](#) applies) must pay the RWT arising from any deemed distribution to New Zealand shareholders of the migrating company within 3 months of the emigration date or (where s [FL 3](#) applies) 3 months after the earliest of the following dates:

- # the company takes the tax position that it is non-resident under a DTA, or
- # the company becomes non-resident, or
- # the company has been treated as non-resident for a continuous period of 2 years from the date it receives Competent Authority determination.

Law: IT07 ss [RA 6\(1\)](#), [RA 9](#), [RA 10](#), [RA 15–RA 18](#), [RE 20](#), [RE 21](#), [RE 26](#), [RE 28](#)

Last reviewed on 31 December 2025

Correcting errors and refunds of deductions of RWT [¶15-180]

[¶15-180]

[Click to open document in a browser](#)

Correcting errors

A person who deducts less than the correct amount of tax from a payment of resident passive income paid to another may either make up the difference by deducting the tax from subsequent payments, recovering the deficiency from the other person, or adjusting the amount subject to tax for a non-cash dividend. The error correction provisions also apply to non-cash dividends, allowing payers to make a correction by grossing up the payment for tax.

If the error is discovered in the tax year in which it is made, the payer must make the adjustment by the next regular reporting date for the investment income information relating to the payee ([¶15-215](#)) if it is reasonably practical to do so.

If the error is discovered in a later tax year, the payer may make an adjustment by the next regular reporting date for the delivery of investment income information in that later year if they are under the threshold for error correction. The total adjustments in the later year relating to the earlier year must be no more than the greater of \$2,000 or 5% of the payer's RWT withholding liability for the year in which the error occurred. For example, if the payer paid \$1,000,000 of RWT in the year of the errors, RWT errors of up to \$50,000 could be corrected in the later year. The payer must notify the Commissioner of an adjustment made in a later tax year, including the applicable information set out in Sch 6 of the TAA (as specified in s [RA 11\(6\)](#) of the IT07).

Note that where the adjustment is to be made by recovering an amount from the payee to correct the deficiency, the recovery action must be taken in the same tax year in which the error is made.

Corrections made that meet these requirements will be treated as having been made in time and as such will not be subject to penalties or interest.

Refunds of excess deductions

If there is an excessive deduction, the payer can refund to the payee the excess deduction at any time up to 20 April after the end of the tax year in which the deduction was made, whether or not the deduction has been paid to the Commissioner. This is provided that:

- # where the payee has not provided the payer with their tax file number, no RWT certificate including the excess has been issued
- # in the case of dividends, other than dividends treated as interest, no shareholder dividend statement including the excess has been given to the payee, or
- # in the case of a taxable M#ori authority distribution, no notice of the kind required by s [31](#) of the TAA including the excess has been given to a member.

If the year-end information has already been provided to the Commissioner, the additional tax credits will be pre-populated into the recipient's tax records and will be able to be refunded by IR if it results in the recipient's income tax being overpaid.

If the payer has not refunded the excess to the payee, the payer must notify the payee and the Commissioner of the excess by 20 April after the end of the tax year in which the deduction was made. If the payer has refunded the amount, the payer must notify the Commissioner at the time of paying the refund.

If the payer has refunded the excess to the payee and not received a refund from the Commissioner, the payer may apply for a refund or subtract the amount from a later payment to the Commissioner, noting the action in the investment income information required.

However, note that the payer does not need to make a refund to a payee if the excessive deduction is the fault of the payee of the resident passive income.

If the excess amount has been paid to the Commissioner, the Commissioner must refund the overpayment to the payee or to the payer, if they have not already subtracted the amount from a later payment to the Commissioner.

No use of money interest is payable by the Commissioner on the excess refunded. If the Commissioner makes an excessive refund to the recipient, the Commissioner may recover that amount.

RWT that is refundable may be applied by the Commissioner to satisfy an amount payable by the taxpayer under the IT07 or the TAA, but only in accordance with a request made by the taxpayer under the tax transfer rules ([12-145](#)).

Law: IT07 ss [RA 11](#), [RA 12](#), [RA 19](#), [RM 8](#), [RM 10](#); TAA ss [25O](#), [120V](#)

Last reviewed on 31 December 2025

Resident withholding tax and intermediaries or agents [¶15-185]

[¶15-185]

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Special rules apply to intermediaries or agents acting on behalf of New Zealand residents with foreign investment fund (FIF) interests. The rules apply if:

- # an intermediary or agent receives a distribution from a FIF on behalf of a New Zealand resident
- # the intermediary has withheld an amount from the distribution under the RWT rules in the belief that the New Zealand recipient was exempt from the FIF rules due to the \$50,000 de minimis exemption ([¶26-125](#)), and
- # s [CD 36](#) ([¶16-735](#)) subsequently applies to treat the distribution as not being a dividend.

If the above applies then, for the purposes of the tax credit rules and for refunds of tax, the amount withheld is treated as RWT. The intermediary, agent or recipient may apply for a refund of the RWT deducted.

An intermediary or agent who has determined that the resident owning the FIF interest has exceeded the \$50,000 threshold for FIF interests ([¶26-125](#)) and has applied for a refund of the amount withheld may also request the Commissioner apply the refund to satisfy other tax liabilities under s [RM 10](#) ([¶2-145](#) and [¶2-148](#)).

Law: IT07 ss [RE 10B](#), [RM 8](#)

Last reviewed on 31 December 2025

Withholding tax and custodial institutions [¶15-187]

[¶15-187]

[Click to open document in a browser](#)

From 1 April 2020, provisions were introduced to clarify the withholding and reporting obligations of custodial institutions. The changes apply for both RWT and NRWT obligations.

A custodial institution acts as a conduit between an investment income payer (eg a company paying a dividend) and an investor. Custodians undertake various functions including settlement services and asset management. The withholding and reporting obligation has been passed from the investment income payer to a “custodial institution” that pays to an “end investor”.

A “custodial institution” is defined as an entity:

- # that holds financial assets or financial instruments as a bare trustee on account for another person, and
- # whose activities are supervised or regulated under the Financial Markets Conduct Act 2013, the Financial Markets Authority Act 2011, the Financial Advisers Act 2008 or the Reserve Bank of New Zealand Act 1989, or are supervised or regulated under corresponding legislation in another jurisdiction.

An “end investor” means an investor to whom a payment of investment income is made who is:

- # a direct investor, whether resident or non-resident, who is the beneficial owner of the investment, or
- # a non-resident custodial institution, other than an institution that is carrying on a business in New Zealand through a fixed establishment in New Zealand.

It includes a trustee, portfolio investment entity (PIE) or PIE proxy if the person or entity has an obligation to provide investment income information to the Commissioner. It is not expected that a custodial institution withholds or reports on the beneficiaries of a trust or investors in a PIE.

The inclusion of a “non-resident custodial institution” as an end investor ensures that withholding and reporting for New Zealand tax purposes occurs on or before the investment income leaves New Zealand. Treating a non-resident custodian as an end investor also reduces the compliance burden on the custodian undertaking the withholding and reporting. This treatment confirms that the final New Zealand custodian does not have to “look through” the non-resident custodian to identify the ultimate investors. It is expected that non-resident custodial institutions are subject to regulatory requirements and reporting obligations under the Common Reporting Standard or US Foreign Account Tax Compliance Act ([¶126-280](#)).

“Investment income” is defined as:

- # resident passive income (excluding a replacement payment paid to a person under a share-lending arrangement)
- # non-resident passive income, and
- # attributed income of investors in PIEs under ss [CP 1](#), [CX 56](#) and [CX 56B](#).

Withholding obligations

Section [RE 10C](#) applies when:

- # a person who is a custodial institution receives a payment of investment income
- # the institution has RWT-exempt status, and
- # the institution pays on or transfers the amount received to an end investor.

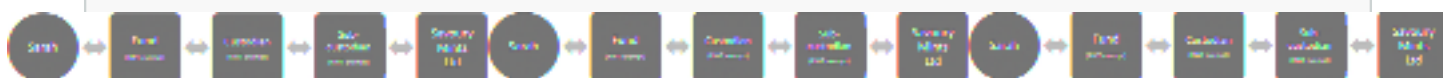
When a custodial institution makes a payment to the end investor, the custodial institution must withhold the tax (to the extent it has not already been withheld) and pay it to the Commissioner. However, before the payment is received by the custodial institution, it may arrange with another person for that person to

withhold and pay the tax to the Commissioner, although the obligation remains with the custodial institution if the other person does not do so.

When a payment of investment income is paid on or transferred through interposed custodial institutions before being paid to an end investor, the final custodial institution is able to enter into an agreement with a preceding custodial institution for the preceding institution to withhold the amount of tax for the payment and pay it to the Commissioner. In this case, the withholding obligation passes to the preceding institution and the final custodial institution's obligation is discharged.

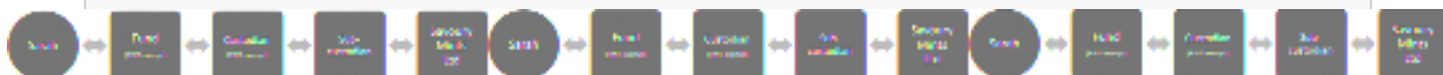
Example

Sarah is a New Zealand resident who makes investments via a managed fund. The managed fund invests into Savoury Mints Ltd (Savoury), a company listed on the New Zealand stock exchange, via a custodian and sub-custodian arrangement. The sub-custodian, custodian and managed fund each have RWT exempt status; Sarah is the "end investor" and beneficial owner of the asset and does not have RWT exempt status. The managed fund is obliged to withhold RWT in respect of Sarah.



Variation

In this variation of the above scenario, the sub-custodian does not have RWT exempt status. Entities will determine whether they have to withhold RWT based on the RWT status of the entity receiving the payment.



Savoury will withhold RWT in respect of the dividend and pay it to Inland Revenue. The sub-custodian will then pass the net dividend through the chain and the managed fund will pass this on to the end investor. The managed fund will have no obligation to withhold under [RE 10C](#) because the obligation exists only to the extent that RWT has not already been withheld.

Example taken from *Tax Information Bulletin* [1324-187 Vol 32, No 4](#), May 2020 at 97.

Withholding in respect of non-resident passive income

Section [RF 4](#) places withholding obligations on "agents and others" that receive a payment of non-resident passive income on behalf of another person, if some or all the amount of tax has not been withheld. This section has now been amended to include custodial institutions.

Example

Ben, a US tax resident, is looking to invest some money into New Zealand equities. Ben invests \$50,000 via a managed fund which invests into a diversified portfolio of New Zealand equities.

The fund invests Ben's money via a New Zealand custodian (NZ custodian). A portion of Ben's \$50,000 is invested into Kyle Raymond Industries (KRI), a company on the New Zealand stock exchange.

When New Zealand custodian pays the income to the managed fund, the nature of the income changes from resident to non-resident passive income: it is clear that the income has a New Zealand source and has been derived by a non-resident. At this point, as tax has not been withheld, the New Zealand custodian must deduct NRWT and pay the withheld tax to Inland Revenue.

If a New Zealand custodial institution pays income offshore to another custodial institution, the withholding and reporting is operated at an aggregated level. In many cases, a non-resident investor's liability to New Zealand tax is fully satisfied by NRWT or AIL and the taxpayer will not be required to file a return. This means that where the payment passes into the hands of another custodial institution, which is treated as the end investor, the withholding would only take account of types of investment income (eg dividends or interest) and classes of taxpayers (eg for a dividend, those investors entitled to the benefit of particular treaty rates and those subject to NRWT in full). This is subject to the condition that the New Zealand custodial institution that operates aggregate level withholding must be satisfied that the foreign custodian has supplied sufficient information to support the rate of withholding.

Australasian Custodial Services (ACS) is a foreign custodian that operates out of Australia and specialises in investing in Australasian companies for its clients. Fifty investors comprised of individuals from the United Kingdom, China and Italy (countries that have a double taxation treaty with New Zealand) have all invested via ACS into KRI. Another fifty individual investors from Hungary, Pakistan and Greece (countries which do not have a double taxation treaty with New Zealand) have also invested into ACS for the purposes of investing into KRI. ACS has advised New Zealand custodian of the withholding rates for each pool of investors (treaty rates and non-treaty rates).



Example taken from *Tax Information Bulletin* ¶324-187 Vol 32, No 4, May 2020 at 99.

A custodial institution that pays on or transfers an amount of investment income to an end investor is treated as a payer and is required to report investment income information. By their nature, custodial institutions can be both a payer (in that they pay on or transfer income) and a payee. Section [25E\(3\)](#) of the TAA recognises this dual role. A payer is required to report in respect of the investment income they have paid to the custodian. This reporting is much more limited in nature. Ultimately the custodial institution who is paying the end investor reports in respect of the beneficial owners of the investment.

Example

Sarah, a New Zealand tax resident, invests \$10,000 via a mutual fund (custodian) into Savoury. When Savoury pays a \$500 dividend, it will be required to report investment income information to the Commissioner in respect of the custodian (the payee). When the custodian pays the dividend to Sarah, it will undertake reporting in respect of Sarah as the end investor.



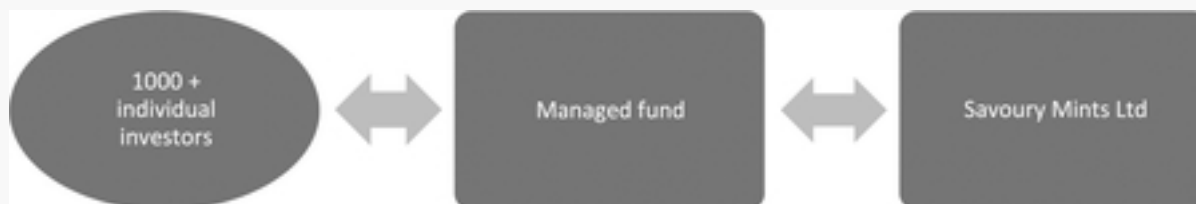
Example taken from *Tax Information Bulletin* [1324-187 Vol 32, No 4](#), May 2020 at 99.

A custodial institution that pays an amount of investment income to an end investor must provide investment income information to the Commissioner. Investment income information is specified in Sch 6 of the TAA.

The reporting requirements do not apply to a custodial institution that is the specified operator of a designated settlement system under the Reserve Bank of New Zealand Act 1989. The exclusion extends to a nominee or agent of the specified operator.

Example

A large number of individual investors invest their money into a managed fund (custodian), who then invests their money into Savoury Mints. In total, these investors invest \$1000,000 into Savoury Mints.



Savoury Mints pays a dividend of \$20,000 and will undertake a simple line of reporting in respect of the custodian in accordance with the requirements in table 1 of Schedule 6 of the Tax Administration Act 1994. For illustrative purposes, an example including some of the fields that Savoury Mints would report is set out below:

Row	Items
1	The name of the payer: Savoury Mints Ltd
2	The tax file number of the payer: 123456
3	The contact address of the payer: 1 Law Lane, Wellington NZ
4	The name of the investor: Managed fund
5	The tax file number of the investor, if held by the payer: 888888
6	The contact address of the investor: 4 Potato Terrace, Auckland, NZ.
7	The date of birth of the investor, if held by the payer: N/A
8	The amount and type of income of the investor for the period: \$20,000 dividend income.

By contrast, when custodian undertakes its reporting in respect of its investors, it will have multiple lines to report in respect of every individual investor.

Example taken from *Tax Information Bulletin* [1324-187 Vol 32, No 4](#), May 2020 at 100.

As with the obligation to withhold RWT or NRWT, there may be some circumstances where the custodian makes other arrangements for reporting (s 25MB of the TAA). Where the obligation is outsourced to another person, the custodial institution remains liable in the event of a default. In contrast, where the custodial

institution enters into an agreement with another custodial institution, the reporting obligation passes to that institution and the obligation on the custodian that is paying to the end investor to report is discharged.

Certain reporting requirements for custodial institutions are limited to information that they hold or can reasonably obtain. This applies in relation to lines 9 (in so far as it relates to approved issuer levy), 17 and 20 of Sch 6 ([¶15-215](#)).

Law: IT07 ss [RE 4\(3\)\(f\)](#), [RE 10C](#), [RF 4](#); TAA ss [25B](#), [25E](#), [25MB](#)

Last reviewed on 31 December 2025

Credit for RWT in annual assessment [¶15-190]

[¶15-190]

[Click to open document in a browser](#)

An amount of resident passive income (other than a replacement payment made under a share-lending arrangement) includes the amount of RWT deducted. In the case of non-cash dividends or non-cash taxable M#ori authority distributions, this includes RWT paid. The RWT paid in relation to that income results in a credit that is offset against the taxpayer's income tax liability for that year, then against any unsatisfied income tax liability (if any) for the previous income year, and finally against any unsatisfied income tax liability, if any (including any provisional tax), for any succeeding income year. Any excess is to be refunded. The tax credit is applied in the above manner after any credits for payment of foreign tax and imputation credits.

From 1 April 2020, only taxpayers who have not provided their investment income payer with their tax file number and who have a non-notified tax code ([¶13-030](#)) have to provide the Commissioner with evidence of their tax credit.

The ordering rule for RWT deductions does not apply to a replacement payment made under a share-lending arrangement.

The amount of RWT credits of a multi-rate PIE and its investors is limited to that permitted in the PIE rules contained in subpart [HM](#) of the IT07.

Law: IT07 ss [LA 4](#), [LA 6](#), [LB 3](#), [RA 9](#), [YA 1](#) (“[replacement payment](#)”); TAA s [78D](#)

Last reviewed on 31 December 2025

RWT withholding certificate to recipient [¶15-200]

[¶15-200]

[Click to open document in a browser](#)

From 1 April 2020, a RWT withholding certificate (IR15) must be prepared by a person withholding RWT from one of the following amounts paid to a payee who has not provided the payer with their tax file number: interest, a dividend treated as interest, or dividends (other than those treated as interest) paid by an agent or trustee (see below for the exception in relation to interest). This certificate must be provided to the recipient no later than 20 May following the end of the relevant year. However, on the maturity, remission or disposal of a financial arrangement, a recipient may notify the payer that they are required to provide a certificate, which must be provided within 20 working days of the notice. When a person (not being a person with RWT-exempt status) ceases to carry on a taxable activity in New Zealand or a taxable activity carrying with it the obligation to make deductions in any month, that person must provide the recipients with certificates by the 20th of the following month. This obligation also applies to any person who ceases to have RWT-exempt status.

Note that dividend resident passive income paid by an RWT proxy is treated as interest for the purposes of the rules governing RWT withholding certificates.

Certificate not needed for interest of \$50 or less

Payers of interest, including trustees and nominees who are required to deduct RWT ([¶15-100](#)), do not need to issue RWT withholding certificates to recipients of interest where those recipients receive \$50 or less of interest in a year unless they have been notified by the recipient that they are required to. In this case, the certificate must be provided within 20 working days of receiving the notice.

When a trustee or nominee is required to deduct withholding tax, the \$50 limit applies to the total amount of interest paid in the tax year by that particular agent to the recipient.

Any certificate must be kept by the recipient for 3 years after the end of the year to which it relates. When payment of resident passive income is made to 2 or more persons jointly, a certificate need only be provided in the name of either those persons nominated or, if there is no nomination, all the recipients jointly.

Certificate deemed provided

A certificate is treated as provided to a recipient where it is delivered to the recipient (or a person authorised to act on behalf of the recipient) in a way described in s [14F\(4\)](#) of the TAA — communication between persons, neither of whom is the Commissioner ([¶1-645](#)).

Law: TAA s [26C](#)

Last reviewed on 31 December 2025

Information required on RWT withholding certificate [¶15-205]

[¶15-205]

[Click to open document in a browser](#)

Where a RWT withholding certificate is required to be issued ([¶15-200](#)), the following details must be provided:

- # a statement as to whether the resident passive income is interest, a dividend treated as interest or a dividend (other than one treated as interest) paid by an agent or trustee
- # the date on which the RWT was withheld or, if there is more than one instance, the year in which the amounts were withheld
- # the amounts of resident passive income and RWT withheld
- # the rate for the resident passive income:
 - # found by dividing the RWT withheld by the amount of resident passive income (ie the average rate for the year), or
 - # the rate that would have applied if the interest had been paid at the end of the relevant tax year, or
 - # the actual rate at which RWT was withheld (if more than one rate applied, then the interest should be broken down with the corresponding RWT which applied to the interest), and
 - # if a recipient derives an interest payment for which RWT is capped under the rules for an inflation-indexed instrument, a statement to that effect and a statement that the recipient may be required to file a return of income.

Law: TAA s [26C\(6\)](#)

Last reviewed on 31 December 2025

Provision of investment income information [¶15-215]

[¶15-215]

[Click to open document in a browser](#)

From 1 April 2020, new rules require payers of interest and dividends to provide investment income information in electronic form by the 20th of the month following the month in which the income was paid. All investment income payers are required to file their information electronically, unless they receive an exemption from the Commissioner.

Subpart [3E](#) of the TAA, ss [25B](#) to [25R](#), codifies the requirements regarding information that payers of investment income must provide to IR. Investment income includes resident passive income, being interest, dividends or taxable Māori authority distributions.

Investment income information

Investment income information is defined as the items of information listed in Sch [6](#) to the TAA relating to an amount of investment income that a payer must either provide to the Commissioner or retain. The particular information to be provided differs depending on the type of investment income paid. Schedule [6](#), Table 1 lists the following information:

Row	Items
1	The name of the payer
2	The tax file number of the payer
3	The contact address of the payer
4	The name of the investor
5	The tax file number of the investor, if held by the payer
6	The contact address of the investor and, if the investor is non-resident, the country code of the investor
7	The date of birth of the investor, if held by the payer
8	The amount and type of income of the investor for the period
9	The tax withheld on behalf of, or approved issuer levy paid in relation to, the investor for the period
10	The date on which or period in which the tax was withheld or levy paid
11	The tax rate of the investor for the period as notified to the payer, if applicable
12	The notified investor rate of the investor, if applicable
13	Whether the PIE is a superannuation fund or a retirement savings scheme or not
14	The imputation credits attached, if applicable
15	The Māori authority credits attached, if applicable
16	The names, tax file numbers, dates of birth, and contact addresses of persons who are joint owners, if held by the payer
17	The number of shares for which the dividend is declared, or in the case of a dividend that is a bonus issue, the number of shares included in the bonus issue
18	The date on which the dividend is declared and the payment date of the dividend
19	In the case of a dividend that is a bonus issue, the amount of the bonus issue as determined under s CD 7 or CD 8 of the IT07

20	If the dividend is paid in Australian currency by an Australian ICA company, the exchange rate between the NZ dollar and the Australian dollar that was used to calculate the imputation ratio
21	The total amounts of income, tax withheld, credits, imputation ratio, and Maori authority ratio, as applicable, for the items in rows 8, 9, 14, 15, and 19
22	Further information as required by the Commissioner

Payers of resident passive income must deliver the following information in electronic form to the Commissioner by the 20th of the month following the month in which the investment income is paid to or derived by the payee (ss [25F](#), [25G](#), [25I](#)):

- # for the payment of interest — the information in rows 1 to 11, 16, 21 and 22
- # for the payment of dividends — the information in rows 1 to 11, 14, and 16 to 22
- # for the payment of Māori authority distributions — information in rows 1 to 10, 15, 16, 21 and 22.

From 30 August 2022, for dividends in respect of migrating companies, the payer must treat the Dividend Resident Company Deferral (DRCD) deferral date as the date on which the amount of investment income is paid to or derived by the payee. The DRCD deferral date is the second anniversary of the date on which the dividend was paid (s [25G\(2\)](#)).

If payments of interest, dividends and Māori authority distributions are made to persons with RWT-exempt status, there is no requirement to provide information in relation to dividends and Māori authority distributions and only if requested by the Commissioner in relation to interest.

The information must be provided for each relevant reporting period, rather than on a cumulative basis.

Note that information must still be reported in some circumstances where there is no obligation to withhold RWT from certain interest payments ([115-220](#)).

Joint investments

If an investment is owned jointly by 2 or more investors, the payer must include the relevant information in relation to each owner if the payer holds the information. This does not apply in relation to a payment to, or for, joint owners that is received in their capacity as beneficiaries of a trust, shareholders in a company, or partners in a partnership, unless the partnership is not required to file a separate return.

Exemption from electronic filing

The Commissioner can grant an exemption from electronic filing. In considering whether to exercise their discretion, the Commissioner must have regard to:

- # the capability of the investment income payer relating to the use of computers
- # the nature and availability of digital services, including their reliability, and
- # the costs involved with complying if they would be unreasonable in the circumstances.

The Commissioner has to provide a statement of reasons for the exemption. Generally, the exemption remains valid until the Commissioner notifies the employer that it is to be cancelled, in which case it expires 6 months after the date given in the notice. However, the Commissioner may set a time limit on the exemption when it is made (s [25P](#)).

Operational statement on exemption from electronic filing

Operational Statement [OS 19/01](#): "Exemption from electronic filing" discusses the criteria for a person to be granted an exemption from filing electronically.

The Commissioner will take into account the availability of connection to the internet and type of connection, and accepts that a person will need at least a broadband internet connection. The reliability of the connection

will also be considered and the statement states that an unreliable internet connection will be a significant factor in granting an exemption.

The Commissioner will consider whether the person has the necessary computer skills to be able to use the digital technology and, if not, whether they have an employee, or can engage the services of someone, who is able to use the technology. Whether the person has some disability that affects their ability to use digital services will also be relevant. If a person uses a computer with an internet connection in their business or as part of their everyday affairs, the Commissioner considers it reasonable to expect they will have little difficulty in sending the necessary returns/information electronically.

The question of costs will be considered by determining what is unreasonable in the circumstances of the particular person. The Commissioner accepts that the circumstances for some payers of investment income may be different to that of an employer or a registered person in that they may not necessarily be in business and are perhaps less likely to have a computer or any other means to connect to the internet. It is the Commissioner's view that it would be unreasonable to expect such a person to incur the cost of buying a computer and connecting to the internet for the sole purpose of meeting the requirements of the legislation, and that an exemption would appear appropriate in such circumstances.

Law: TAA ss [25C\(a\)](#), [25D](#), [25E](#), [25F](#), [25G](#), [25I](#), [25P](#), [25Q](#), [25R](#), [227E](#), Sch [6](#)

Last reviewed on 31 December 2025

Information requirements where no deduction required from interest payments [¶15-220]

[¶15-220]

[Click to open document in a browser](#)

Special information requirements must be met by certain payers of interest. If interest is paid to a person who does not have RWT-exempt status and no RWT has been withheld from that interest because the payment was not made in the course or furtherance of a taxable activity or because the payment fell short of the \$5,000 threshold (¶15-080) and the interest has been allowed as a deduction (also see [IS 24/09](#) "Income tax — Overdrawn shareholder loan account balances", [78] to [84]), the following information must be provided:

- # the full name and last known address of the investor
- # the tax file number of the investor, if held by the payer
- # the investor's date of birth, if held by the payer
- # the country code of any non-resident investor
- # the names, tax file numbers, dates of birth and contact addresses of any persons who are joint owners, if held by the payer
- # the amount and type of income of the investor for the period
- # the total amount of tax withheld, and
- # any other information required by the Commissioner.

The information must be delivered in the payer's tax return. The recipient of this interest must supply to the payer their tax file number within 10 working days of receiving a notice from the payer.

Law: TAA ss [25E](#), [25N](#), [28](#), Sch [6](#)

Last reviewed on 31 December 2025

Record-keeping requirements for RWT [¶15-240]

[¶15-240]

[Click to open document in a browser](#)

Section [22AAB](#) applies to any person liable to withhold RWT and requires them to keep sufficient proper records relating to the income paid and RWT withheld by them to enable the Commissioner to readily ascertain the information set out in table 2 of Sch [3](#) of the TAA:

- # the name, tax file number, address and, if supplied, date of birth of every person who derives or is paid resident passive income
- # the type and amount of resident passive income and amount of RWT withheld
- # the applicable tax rate
- # the date on which RWT was withheld and the year if there is more than one instance
- # the details of all financial arrangements under which interest has been paid, including any number used to identify the financial arrangement, and
- # other information required by the Commissioner.

Records must be kept for at least 7 years after the making of the payments unless the Commissioner notifies the person retention is not required, the records are required by law to be delivered to another person, or the person is a company that has been liquidated. The Commissioner can notify a person, before the expiry of the 7-year period, to retain the records for up to a further 3 years if the Commissioner is undertaking, or is going to undertake, an audit of the person or any person to whom the records relate. The records must be kept in English or te reo Māori, unless the Commissioner gives permission to the contrary.

Law: TAA s [22AAB](#), Sch [3](#)

Last reviewed on 31 December 2025

Assessment of RWT by the Commissioner [¶15-250]

[¶15-250]

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The Commissioner has the power to make an assessment of RWT. An assessment may be amended, although the right to do this is generally limited to within 4 years of the income year in which the tax return is provided. An assessment is deemed to be correct except upon challenge proceedings.

Law: TAA ss [99](#), [111](#)

Last reviewed on 31 December 2025

Unpaid resident withholding tax [¶15-260]

[¶15-260]

[Click to open document in a browser](#)

RWT deductions are held in trust for the Crown and consequently are not part of an estate in bankruptcy, liquidation or assignment. Unpaid RWT, including late payment or shortfall penalties, constitutes a charge on the real and personal property of the person in default. Underpayment of the tax constitutes a debt payable to the Commissioner commencing on the date the tax should have been paid to the Commissioner. If a person has failed to make a deduction but can establish that another person has made one, the deduction is deemed to have been made by the original person for the purposes of determining upon whose property the deductions are to be charged and who is liable for failure to make deductions.

Any breach by a payer in respect of RWT obligations will attract late payment and shortfall penalties as described in Chapter 14. Use of money interest will also run from the day after a payment of RWT is due. Depending on the payer's degree of culpability, criminal penalties may also be imposed ([¶15-270](#)).

Law: TAA ss [140](#), [170](#), [171](#), [172](#)

Last reviewed on 31 December 2025

RWT offences [¶15-270]

[¶15-270]

[Click to open document in a browser](#)

A person commits an absolute liability offence if they fail to keep the records outlined in [¶15-240](#). If convicted, that person will be liable for a penalty of up to \$4,000 for the first offence, \$8,000 for the second offence and \$12,000 for any subsequent offence. Knowingly failing to keep such records is a more serious offence with a penalty of up to \$25,000 for the first offence, and \$50,000 for any subsequent offence.

The penalty for knowingly not accounting to the Commissioner for RWT deducted is imprisonment for up to 5 years and/or a fine of up to \$50,000. This applies for each conviction. A taxpayer who makes a deduction but fails to return it to IR has committed an offence similar to evasion and will be penalised accordingly. This offence will require only the proof of knowledge.

Law: TAA ss [143](#), [143A](#)

Last reviewed on 31 December 2025